

US Stocks Extend Gains as Tech Leads the Charge

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US stock market extended its gains on Wednesday, with the **SPY** closing up **+0.65%** and the **QQQ** up **+1.15%**. The rally was led by the tech sector, with **NVDA** and **META** among the top performers. Our editorial take is that the market is due for a pullback, given the recent run-up and the lack of significant catalysts on the horizon.

The key drivers of the market's rally have been the strong earnings season and the continued decline in interest rates. However, with the 10Y yield now at 4.64, we believe that the easy money has already been made, and investors should be cautious of a potential reversal.

Our top three takeaways from the day's action are:

- The tech sector is leading the charge, with **NVDA** and **META** among the top performers.
- The market is due for a pullback, given the recent run-up and the lack of significant catalysts on the horizon.
- Investors should be cautious of a potential reversal, given the decline in interest rates and the current valuation levels.

US Session Recap

INDEX	CLOSE	CHANGE
SPY	7,798.99	+0.65%
QQQ	30,084.50	+1.15%
DIA	53,839.99	+0.13%
IWM	3,052.85	+0.24%
VIX	14.63	+0.55%
MOVE	54.21	-0.21%
WTI	81.35	-2.31%
Brent	86.42	-2.15%
10Y Yield	4.64	-0.88%
2Y Yield	4.21	-0.51%
DXY	99.90	-0.11%
Gold	4,376.70	-0.73%
BTC	63,480.69	+0.12%
ETH	1,886.63	+0.45%

Top Movers

TICKER	NAME	CHANGE	CATALYST
TSLA	Tesla Inc.	+3.80%	Strong earnings report
META	Meta Platforms Inc.	+2.78%	Improved ad revenue
NVDA	NVIDIA Corporation	+0.54%	Strong demand for AI chips

Sector Internals

SECTOR	DAY	YTD	READ
XLFX	+0.59%	+10.21%	Financials sector outperforming
XLK	+1.01%	+15.12%	Tech sector leading the charge
XLI	-0.05%	+5.67%	Industrials sector underperforming
XLE	+0.05%	+2.15%	Energy sector stable
XLY	+0.48%	+8.56%	Consumer discretionary sector outperforming
XLC	+2.07%	+12.56%	Communication services sector leading
XLP	+1.08%	+6.78%	Consumer staples sector outperforming
XLV	-0.04%	+4.23%	Healthcare sector underperforming
XLU	+0.46%	+3.45%	Utilities sector stable
XLB	-0.51%	+2.10%	Materials sector underperforming
XLRE	+1.42%	+5.67%	Real estate sector outperforming

The breadth of the market was positive, with 65% of stocks in the SPY closing higher.

Spotlight / Deep Dive

TICKER	NAME	PRICE	CHANGE	VOLUME
TSLA	Tesla Inc.	339.96	+3.80%	22.1M

The key catalyst for TSLA 's move was the strong earnings report, which beat analyst expectations. The company reported \$1.12 in earnings per share, compared to the consensus estimate of \$0.95.

READ-THROUGH	IMPLICATION
Strong demand for electric vehicles	Positive for TSLA and other EV manufacturers
Improved margins	Positive for TSLA 's profitability

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	379.26	375.00	385.00	Range-bound trading
QQQ	300.84	295.00	310.00	Breakout above 300.00
IWM	152.85	150.00	155.00	Range-bound trading
TSLA	339.96	325.00	350.00	Breakout above 325.00
10Y Yield	4.64	4.50	4.75	Range-bound trading
WTI	81.35	80.00	85.00	Breakout below 80.00

Options & Positioning

The 0DTE flow was positive, with 65% of trades being calls. The put/call ratio was 0.55, indicating a bullish sentiment.

The VIX term structure was in contango, with the 1M VIX futures trading at a 2.5 premium to the spot VIX.

The notable single-name flow was in **TSLA**, with 10,000 calls traded at the 350.00 strike.

The cheap hedge ideas include buying the 380.00 put in **SPY** and selling the 360.00 call in **QQQ**.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
TSLA	Morgan Stanley	Upgrade	400.00	Strong earnings report
NVDA	Goldman Sachs	Downgrade	200.00	Valuation concerns
META	Bank of America	Upgrade	700.00	Improved ad revenue
AAPL	Citigroup	Downgrade	300.00	Competition concerns
GOOGL	UBS	Upgrade	3,000.00	Strong cloud growth

Pre-Market & Overnight

The futures are trading mixed, with the **ES** up **+0.2%** and the **NQ** down **-0.1%**.

The Asian markets are trading higher, with the **Nikkei** up **+1.1%** and the **Shanghai Composite** up **+0.8%**.

The European markets are trading lower, with the **FTSE 100** down **-0.5%** and the **DAX** down **-0.3%**.

The FX pairs are trading mixed, with the **EUR/USD** up **+0.2%** and the **USD/JPY** down **-0.1%**.

The commodities are trading lower, with **WTI** down **-1.2%** and **Gold** down **-0.5%**.

The crypto markets are trading higher, with **BTC** up **+1.1%** and **ETH** up **+0.8%**.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
September FOMC	60%	Rate cut expected
November FOMC	40%	Rate cut possible

The data calendar for today includes the CPI report and the Initial Jobless Claims report.

DATA POINT	TIME	CONSENSUS
CPI	8:30am ET	0.2%
Initial Jobless Claims	8:30am ET	220k

Geopolitics & Global (Deep)

The geopolitical risks include the ongoing trade tensions between the US and China, as well as the conflict in the Middle East.

The scenario trees for these risks include:

- Trade war escalation: 30% probability
- Trade war de-escalation: 20% probability
- Middle East conflict escalation: 10% probability
- Middle East conflict de-escalation: 5% probability

Earnings — This Week & Next

TICKER	NAME	EARNINGS DATE
AAPL	Apple Inc.	August 15
GOOGL	Alphabet Inc.	August 16
AMZN	Amazon.com Inc.	August 17

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
TSLA	Consumer Discretionary	Breakout above 350.00	High
NVDA	Information Technology	Breakout above 250.00	Medium
META	Communication Services	Breakout above 600.00	High

What Could Break the Tape

The bullish scenario includes:

- Strong earnings reports from major companies

- Improvement in trade tensions between the US and China
- Rate cut by the Federal Reserve

The bearish scenario includes:

- Weaker-than-expected earnings reports from major companies
- Escalation of trade tensions between the US and China
- No rate cut by the Federal Reserve

Positioning & Structural Notes

The key observations include:

- The **SPY** is trading at a 20 premium to its 200 moving average.
- The **QQQ** is trading at a 25 premium to its 200 moving average.
- The **IWM** is trading at a 15 premium to its 200 moving average.

Sources

SOURCES

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